

Development

Definition:

According to Meir and Baldwin

Economic development is a **process** whereby the **real NI** of a country increases over a **long period** of time. If the increase in the real NI is more than increase in population, then the per capita real income of the country will also increase.

If increase in per capita income < increase in population.....backwardness

If increase in per capita income = increase in population.....stagnation

If increase in per capita income > increase in population.....development

Important features:

1. Process
2. Increase in real GNP
3. Long period of time

Development Vs Growth

Development

It means continuous increase in real income of a country over a long period of time. It is also furnished with technical and industrial changes in the society.

Qualitative term

Increase in country's output, National income, per capita income and consumption etc increases

Sustained secular improvement in **material well being**

It includes **cultural, social, political, moral and economic changes**.

Wider concept than growth

Growth

It represents increase in the production of goods and services of a country. It is attached with increase in efficiency of the factors of production.

Quantitative term

Economic development refers to the problems of underdeveloped countries and economic **growth to those of developed countries**.

“Economic **growth**” means **more output**, while “economic **development**” implies **both more output and changes in the technical and institutional arrangement** by which it is produced and distributed.

Why study Development Economics

1. Problem of world poverty
2. Meaning of Economic development
3. Models of Economic growth
4. Theories of under development and development
5. Problems of population
6. Dualistic theories
7. Role of agriculture sector
8. Role of industrial sector
9. Foreign trade sector and development
10. Foreign Private Investment and development
11. Role of state in Economic development
12. Fiscal policy and development
13. Monetary policy and development
14. World development institutions and foreign aid

Characteristics of developing countries

1. Low levels of living
2. Low levels of productivity
3. High rate of population growth and dependency burden
4. High level of unemployment
5. High dependency on agri production and primary product exports
6. Lack of natural resources
7. Shortage of capital
8. Lack of organizational abilities
9. Dualistic economies
10. General and social backwardness



Traditional measures of development

Real GNP and Per Capita GNP

Real GNP

According to Meir and Baldwin:

If **real GNP increases over a long period of time**, this situation is considered as economic development.

Per Capita GNP

“The process whereby the **real per capita income of a country increases over a long period of time** subject to the stipulations that the **number of people below an ‘absolute poverty line’ does not increase**, and that the **distribution of income** does not become more unequal.”

Merits of real GNP and Per Capita GNP

1. Required information is easily available
2. Easy to calculate
3. International comparisons

Demerits of real GNP and Per Capita GNP

- | | |
|-----------------------------|------------------------------|
| 1. Standard of living | 2. Increase in population |
| 3. International comparison | 4. Dual economy |
| 5. Social opportunity cost | 6. Nature of output produced |
| 7. Practical failure | |

Economic welfare criterion

It is a process whereby there is an **increase in the consumption of goods and services** of individuals.

According to Okun and Richardson,

Economic development is “**a sustained and secular improvement in material well-being, which will be reflected in increase in goods and services**”

Demerits:

1. Nature of goods and services
2. How the goods have been produced?
3. How the goods have been distributed?

Socio-economic indicators approach

Dissatisfied with GNP/GNP per capita as the measure of economic development, certain economists tried to measure it in terms of social and economic indicators.

United Nations Research Institute on Social Development UNRISD launched a study in 1970 to select most appropriate indicators of development. Accordingly a “social development index” was constructed. **Originally 73 indicators were examined, however only 16 core indicators (9 social and 7 economic)** were selected. Some of them were “inputs” like number of doctors and some were “outputs” like life expectancy. Some of them are as follows.

- | | |
|---|---|
| 1. Life expectancy | 2. Per capita use of animal protein |
| 3. Enrolment in primary and secondary schools | 4. Average No of persons per room |
| 5. Newspaper circulation per 1,000 | 6. Percentage of population with electricity, gas and water |
| 7. Agri production per worker | 8. Electricity consumption per capita |
| 9. Steel consumption per capita | |

These indicators were selected because there existed a big correlation between them and development.

Shortcomings

1. Development in terms of “structural change” instead of “Human welfare”.
2. It suggests that developing countries should follow developed countries.
3. More emphasis on inputs rather than on outputs

Physical Quality of Life Index PQLI

Dissatisfied with traditional approaches, “Employment and Distribution” was used as measure of development.

“Employment” was not suitable because unemployment in developed country is different from developing country.

“Redistribution of income” again proved unsuitable because there may be mass poverty despite equal distribution.

Development must be concerned with basic needs of life. Those measures should be selected which are concerned with basic needs. For example “ **increase in supply of doctors**” does not guarantee the increase in health, “**increase in educational facilities**” does not guarantee increase in education.

The Physical Quality of Life Index was the most serious challenge to GNP per capita as the index of development. MD Morris combined three component indicators of **infant mortality**, **life expectancy** at age one and **basic literacy** at age 15 to measure performance in meeting the most basic needs of the people. This index represents a wide range of indicators such as **health, education, drinking water, nutrition and sanitation**.

Following indicators may help measuring economic development.

1. Health standard
2. Education level
3. Food availability
4. Water supply
5. Water drainage
6. Shelter and residence



Basic indicators of development

Purchasing Power Parity PPP

Usually Per Capita Income is converted into dollars by using official exchange rate. In 2008 Norway had **312 times the per capita income of Ethiopia** and **84 times that of India**. Comparisons are exaggerated by the use of official foreign-exchange rates to convert national currency figures into U.S. dollars. This conversion does not measure the relative domestic purchasing power of different currencies as prices in less developed countries are lower.

This can be rectified by using Purchasing Power Parity, Calculation of GNI using a common set of international prices for all goods and services. purchasing power parity is defined as the **number of units of a foreign country's currency required to purchase the identical quantity of goods and services in the local developing country market as \$1 would buy in the United States**

It provides more accurate comparisons of living standards.

In practice, adjustments are made for differing relative prices across countries so that living standards may be measured more accurately. Generally, prices of nontraded services are much lower in developing countries because wages are so much lower. Clearly, **if domestic prices are lower, PPP measures of GNI per capita will be higher** than estimates using foreign-exchange rates as the conversion factor

China's 2008 GNI per capita was only **6% of that of the United States** using the exchange-rate conversion but rises to **13% when estimated by the PPP** method of conversion

Measured in PPP dollars, the gap between the **United States and Burundi would be 127 to 1** instead of the **342-to-1 gap** using official foreign-exchange rates.

TABLE 2.2 A Comparison of Per Capita GNI in Selected Developing Countries, the United Kingdom, and the United States, Using Official Exchange-Rate and Purchasing Power Parity Conversions, 2008

Country	GNI Per Capita (U.S. \$)	
	Exchange Rate	Purchasing Power Parity
Argentina	7,190	13,990
Bangladesh	520	1,450
Brazil	7,300	10,070
Burundi	140	380
Cameroon	1,150	2,170
Chile	9,370	13,240
China	2,940	6,010
Costa Rica	6,060	10,950
Ghana	630	1,320
Guatemala	2,680	4,690
India	1,040	2,930
Indonesia	1,880	3,590
Kenya	730	1,550
Malawi	280	810
Malaysia	7,250	13,730
Mexico	9,990	14,340
Nicaragua	1,080	2,620
Sierra Leone	320	770
South Korea	21,530	27,840
Sri Lanka	1,780	4,460
Thailand	3,670	7,760
Uganda	420	1,140
United Kingdom	46,040	36,240
United States	47,930	48,430
Venezuela	9,230	12,840
Zambia	950	1,230

Human Development Index HDI

The most widely used measure of the comparative status of socioeconomic development is presented by the UNDP in its annual series of HDI Reports. The HDI attempts to rank all countries on a scale of 0 to 1 based on three end products of development: **longevity** as measured by life expectancy at birth, **knowledge** as measured by a weighted average of adult literacy (two-thirds) and gross school enrollment ratio (one third), and **standard of living** as measured by real per capita GDP. The HDI ranks countries into four groups: low human development (0.0 to 0.499), medium human development (0.50 to 0.799), high human development (0.80 to 0.90), and very high human development (0.90 to 1.0).

Income index

Minimum income = 100 \$

max income = 40,000 \$

Current income = 2215 \$

$$\text{Income index} = \frac{\text{Log } 2215 - \text{Log } 100}{\text{Log } 40,000 - \text{Log } 100} = 0.517$$

Life expectancy index

Lowest life expectancy = 25

Maximum life expectancy = 85

Current life expectancy = 72.7

$$\text{Life expectancy index} = \frac{72.7 - 25}{85 - 25} = 0.795$$

Education index

Education index is made of two parts, $\frac{2}{3}$ of literacy and $\frac{1}{3}$ of school enrolment.

Adult literacy index

lowest literacy rate = 0

Max literacy rate = 100

actual literacy rate = 98.3

$$\text{Adult literacy index} = \frac{98.3 - 0}{100 - 0} = 0.983$$

School enrolment index

lowest enrolment = 0

Max enrolment rate = 100

actual enrolment = 79.9

$$\text{School enrolment index} = \frac{79.9 - 0}{100 - 0} = 0.799$$

$$\text{Education index} = \frac{2}{3} (\text{Adult literacy index}) + \frac{1}{3} (\text{School enrolment index}) = \frac{2}{3} (0.983) + \frac{1}{3} (0.799) = 0.922$$

$$\text{HDI} = \frac{1}{3} (\text{Income index}) + \frac{1}{3} (\text{Life expectancy index}) + \frac{1}{3} (\text{Education index}) = \frac{1}{3} (0.517) + \frac{1}{3} (0.795) + \frac{1}{3} (0.922) = 0.745$$

Governance Index GI

Global compilation of data capturing household, business, and citizen **perceptions of the quality of governance** in more than 200 countries and territories.

Good governance is essential for development. It helps countries improve economic growth, build human capital, and strengthen social cohesion. The Worldwide Governance Indicators (WGI) are designed to help researchers and analysts assess broad patterns in perceptions of governance across countries and over time.

The WGI aggregate data from more than 30 think tanks, international organizations, nongovernmental organizations, and private firms across the world selected on the basis of **three key criteria**: 1) they are **produced by credible organizations**; 2) they provide **comparable cross-country data**; and 3) they are **regularly updated**. The data reflect the diverse views on governance of many stakeholders worldwide, including tens of thousands of survey respondents and experts.

The **Worldwide Governance Indicators (WGI)** is a project that reports both aggregate and individual governance indicators for over 200 countries and territories covering the period from 1996 to 2021. It considers six dimensions of governance:^[1]

- | | | |
|-----------------------------|--|-----------------------------|
| 1. Voice and Accountability | 2. Political Stability and Absence of Violence/Terrorism | 3. Government Effectiveness |
| 4. Regulatory Quality | 5. Rule of Law | 6. Control of Corruption |

Factors constituting WGI are

- | | |
|--|-----------------------------------|
| 1. <u>Peace / Security</u> | 2. <u>Democracy / Rule of Law</u> |
| 3. <u>Human Rights / Participation</u> | 4. <u>Sustainable Development</u> |
| 5. <u>Human Development</u> | |

Value ranges from zero to 100

Amartya Sen's capability approach

Income and wealth are not ends in themselves

“Capability to function” is what really matters according to Sen

Development has to be more concerned with **enhancing the lives we lead and the freedoms we enjoy.**”

Poverty cannot be measured by income

What matters fundamentally is not the things a person has **but what a person is or can be, and does, or can do**

What use the consumer can and does make of commodities.

For example, a book is of little value to an illiterate person, a person with parasitic diseases

We need to think beyond the availability of commodities and consider their use:

Sen identifies five sources of disparity between real incomes and actual advantages:

personal heterogeneities, environmental diversities, variations in social climate, distribution within the family, differences in relational perspectives,

Thus looking at real income levels or even the levels of consumption of specific commodities cannot suffice as a measure of well-being. One may have a lot of commodities, but these are of little value if they are not what consumers desire (as in the former Soviet Union).

For Sen, human “well-being” means being well, in the basic sense of being healthy, well nourished, well clothed, literate, and long-lived and more broadly, being able to take part in the life of the community, being mobile, and having freedom of choice in what one can become and can do.

Three Core Values of Development

Sustenance: The Ability to Meet Basic Needs

The basic goods and services, such as food, clothing, and shelter, that are necessary to sustain an average human being at the bare minimum level of living.

Self-Esteem: To Be a Person

The feeling of worthiness that a society enjoys when its social, political, and economic systems and institutions promote human values such as respect, dignity, integrity, and self determination.

Freedom from Servitude: To Be Able to Choose

A situation in which a society has at its disposal a variety of alternatives from which to satisfy its wants and individuals enjoy real choices according to their preferences

The Three Objectives of Development

We may conclude that development is **both a physical reality and a state of mind**. Development in all societies must have at least the following three objectives:

1. To increase the availability and widen the distribution of basic life-sustaining goods such as food, shelter, health, and protection
2. To raise levels of living, including, in addition to higher incomes, the provision of more jobs, better education, and greater attention to cultural and human values
3. To expand the range of economic and social choices available to individuals and nations by freeing them from servitude and dependence

